Climate Action

Taking action on climate change

As a leading technology provider with operations, supply chain and customers that span the globe, we are committed to understanding the impact our business has on the environment. We are taking action to mitigate climate change, and we offer innovative products and solutions to customers to help them reduce their emissions, reach their reduction targets and operate more efficiently.

IN THIS SECTION

Our approach to climate action

The need to mitigate the negative impacts of climate change is clear, compelling and required to meet key aspects of the Paris Agreement. We are committed to using scientific guidelines and standards like Science Based Targets initiative (SBTi) to set greenhouse gas (GHG) emissions reduction targets and to deliver on our net zero ambition. In FY23, we strengthened our targets and enhanced our ambition by shifting from intensity targets to absolute targets for scope 3 categories 1 and 11. This has been a transition from relative reduction measures to absolute reduction measures.[3]

In this section, we highlight our FY24 efforts:

Our emissions: We inventoried our greenhouse gas (GHG) emissions to understand our footprint and explored opportunities to reduce energy consumption and increase our use of renewables.

Product energy efficiency: We focused on lowering the footprint of our products, including emissions from our upstream and downstream impacts, and providing solutions to increase efficiency. We aim to do this all without compromising the performance of our technology.

Innovating to decarbonize: We explored solutions for the complex environmental challenges that come with digital transformations for our customers and society.

Supply chain environmental impact: Our engagement program explored more specialized support to suppliers as they navigate challenges to deliver on their own reduction target roadmaps.

2050 GOAL

By 2050, we will achieve net zero greenhouse gas (GHG) emissions across scopes 1, 2 and 3

KEY DRIVERS

By 2030, we will reduce scopes 1 and 2 GHG emissions by 50%

FY24 40.6% 50%

Percentage reduction in GHG emissions

By 2030, we will source 75% of electricity from renewable sources across all Dell Technologies facilities — and 100% by 2040

FY24 61.5% 75%

Percentage of electricity generated from renewable sources

By 2030, we will reduce absolute scope 3 GHG emissions from purchased goods and services by 45%

FY23: 18,238,800 MT CO_2e.* We are in the process of restating our emissions for this category to make each year comparable and to provide a cumulative comparison to our FY20 baseline.

By 2030, we will reduce absolute scope 3 GHG emissions associated with the use of sold products by 30%

FY24 22.2% 30%

Percentage reduction in GHG emissions

*Due to the one-year lag in supplier emissions data, progress against the current year is not available.

Strategy

Decarbonize our operations, customers and society

Our climate action strategy is comprehensive because we understand that no single solution will help us meet our climate goals. We incorporate carbon mitigation actions within our own operations, for our customers, partners and society:

- **Decarbonize Dell:** We internally reduce emissions, implement operational resilience strategies and manage the carbon footprint of our operations and products. We also engage with our suppliers to drive down emissions upstream of our operations.
- **Decarbonize customers and partners:** As part of a global technology chain, we support our customers' and partners' climate-related goals through breakthrough innovations.
- **Decarbonize society:** Our support for global climate goals drives engagement and advocacy on climate-related issues beyond our immediate community.

We ensure that our emissions data is tracked, managed and reported over time. We calculate emissions in accordance with the methodology set out in the Greenhouse Gas Protocol and follow industry best practices in terms of GHG accounting methodologies. We also align our emissions reduction key drivers to Science Based Targets initiative (SBTi) criteria. The ESG Goals and Key Drivers Methodology section contains additional details on how we measure progress to our key drivers.

Greenhouse gas emissions by scope

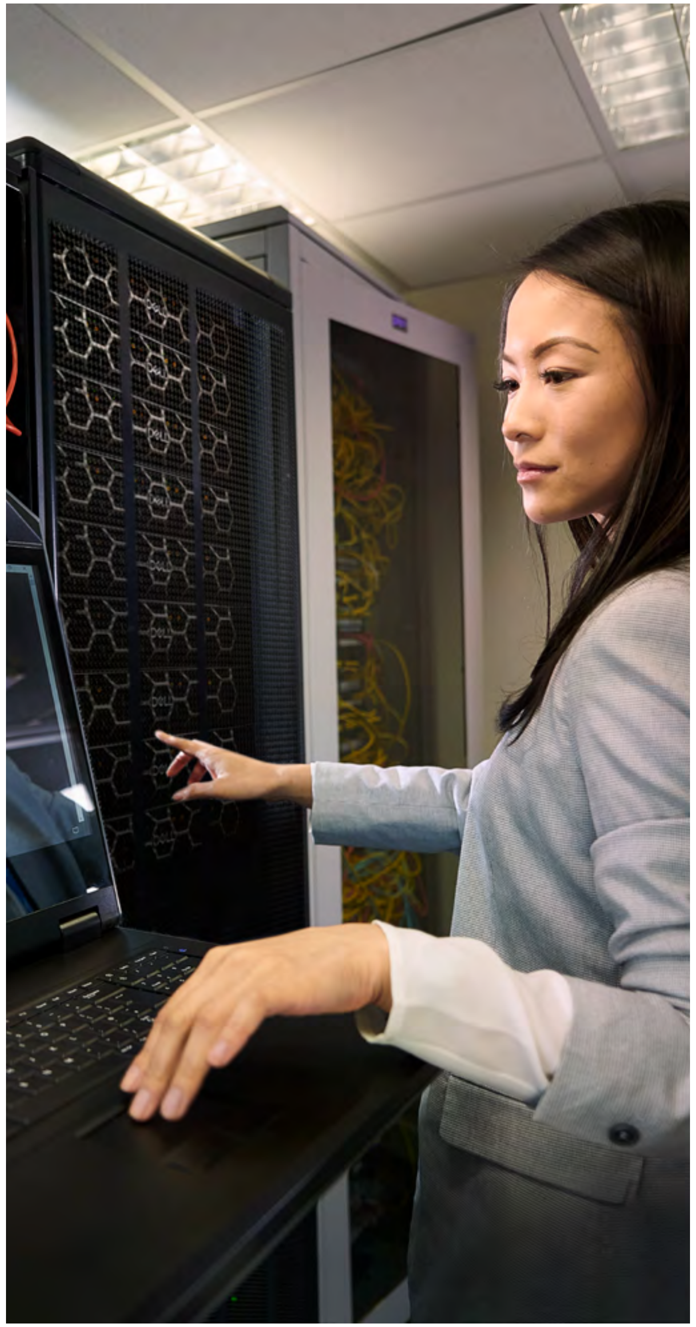
SCOPE 1
Direct emissions from Dell Technologies-owned and -controlled resources.

SCOPE 2
Indirect emissions related to consumption of purchased electricity, steam, heating and cooling.

SCOPE 3
Indirect emissions associated with our supply chain, the use of our products by customers, activities like business travel and the transportation of goods and services.

SBTi has validated our updated set of 2030 emissions targets and classified our scopes 1 and 2 ambition as in line with a 1.5 degrees Celsius trajectory for climate change, which is the most ambitious target companies can set for scopes 1 and 2 emissions.

We continue to participate in the CDP Climate Change annual disclosure reporting our scopes 1, 2 and 3 footprint. We also ask and expect our suppliers to participate in CDP Supply Chain disclosure and to report their GHG emissions, reduction targets and mitigation plans.



Public advocacy

We continued to hold paramount our commitments to advancing sustainability in FY24, with a focus on climate action and circular economy. We realize partnerships and collaboration are key to making a sizeable impact in both areas. For instance, we joined our peers in engagements to educate key stakeholders, including policymakers, on the importance of urgent climate action.

In FY24, we also:

- Continued partnership with like-minded multinational companies as a member of the World Economic Forum's (WEF) Alliance of CEO Climate Leaders and participation in the WEF Climate Adaptation Community. Michael Dell signed the WEF business coalition letter in support of global climate action.
- Took part in CDP's 2023-2024 Science-Based Targets (SBT) Campaign. Campaign participants, which included financial institutions and other companies, were added to the CDP website and to a letter sent in October to over 2,100 CDP-targeted multinational businesses, a group that includes certain Dell suppliers, encouraging them to adopt SBTs.
- Continued our membership in the Digital Climate Alliance and the GridWise Alliance.
- Supported a letter through our membership with the Responsible Business Alliance (RBA), urging the European Union's co-legislators to set a common European standard for responsible business conduct. This would pave the way for a cross-sectoral and EU-wide level playing field for sustainability due diligence: the Corporate Sustainability Due Diligence Directive (CS3D).

Achieving net zero emissions

Getting to net zero greenhouse gas (GHG) emissions takes a deep understanding of our carbon footprint and setting ambitious near-term, science-based targets to achieve by 2030. Our 2030 reduction targets align with the categories where we have the greatest opportunity for impact.

OPERATING OUR COMPANY | **MAKING OUR PRODUCTS** | **USING OUR PRODUCTS**

ONGOING ACTIONS TO NET ZERO

SCOPE 1 — DIRECT EMISSIONS

- Focus on eliminating GHG-emitting fuels in our buildings and vehicles
- Transition to low- or no-emissions cooling systems for our buildings and equipment

SCOPE 2 — INDIRECT EMISSIONS

- Focus on sourcing 75% of electricity from renewable sources by 2030
- Drive scope 2 emissions to nearly zero by sourcing 100% of electricity from renewable sources by 2040

50% REDUCTION in operational emissions

SCOPE 3 CATEGORY 3 — FUEL & ENERGY

- Reduce our dependence on fossil fuels and increase use of renewables

SCOPE 3 CATEGORY 1 — PURCHASED GOODS & SERVICES

- Partner with suppliers to improve reporting and reduce their operational and upstream emissions footprint
- Include product carbon footprint in our design decisions

45% REDUCTION in absolute emissions from purchased goods and services

SCOPE 3 CATEGORY 6 — BUSINESS TRAVEL

- Reduce emissions from air and rail travel by using technology to replace in-person travel
- Use lower-carbon transport options like electric vehicles, where possible

SCOPE 3 CATEGORY 4 — LOGISTICS

- Optimize our transportation network
- Partner with key carriers for transportation efficiencies
- Advocate for industry-wide transition to lower carbon footprint transportation fuels

SCOPE 3 CATEGORY 11 — USE OF SOLD PRODUCTS

- Reduce the energy intensity of our products
- Advocate for global renewable electricity policies
- Support our customers' transition to renewable electricity

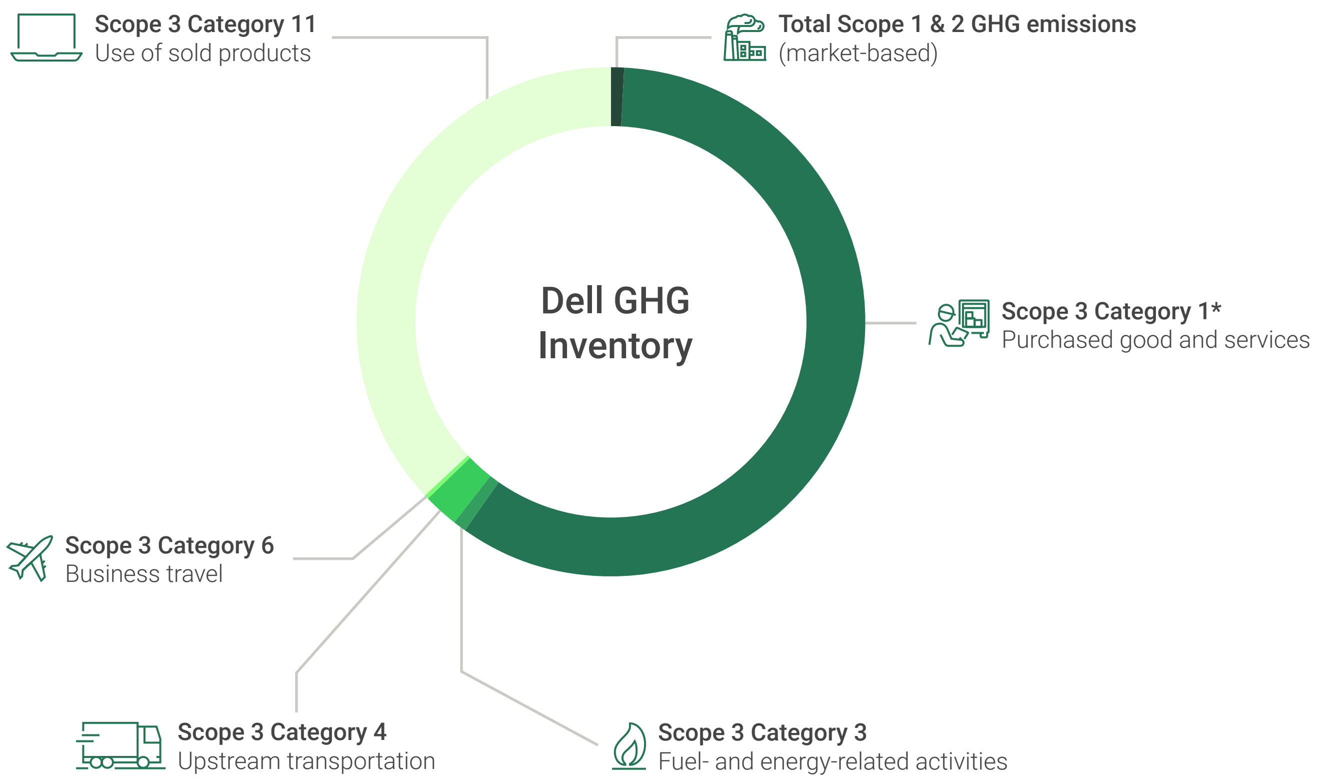
30% REDUCTION in absolute emissions associated with the use of sold products

Greenhouse gas inventory

The Dell Technologies strategy to minimize greenhouse gas (GHG) emissions resembles the carbon mitigation hierarchy: avoid, reduce, replace and — where these mitigating actions are not feasible — offset.

- **Avoid** emissions from the start.
- **Reduce** the energy intensity and extent of impacts that cannot be avoided.
- **Replace** high-carbon emissions energy sources with renewable or low-carbon emissions alternatives.
- **Offset** by investing in projects that remove or reduce emissions elsewhere.

We annually inventory our GHG emissions to understand where we have opportunities to reduce our environmental impact. In alignment with our four 2030 key drivers toward our 2050 net zero goal, we focus on reducing emissions from our own operations and energy usage, those associated with goods and services we purchase and the use of our sold products. This inventory practice allows us to disclose our GHG emissions performance, management and progress toward our net zero goal.



Greenhouse gas emissions scopes and categories	%
Total Scope 1 & 2 GHG emissions (market-based)	0.6%
Scope 3 Category 1 Purchased good and services*	59.0%
Scope 3 Category 3 Fuel- and energy-related activities	0.4%
Scope 3 Category 4 Upstream transportation	2.5%
Scope 3 Category 6 Business travel	0.3%
Scope 3 Category 11 Use of sold products	37.2%

*Our GHG Inventory includes FY23 Category 1 figures as explained in text

Scope 1 and scope 2 emissions

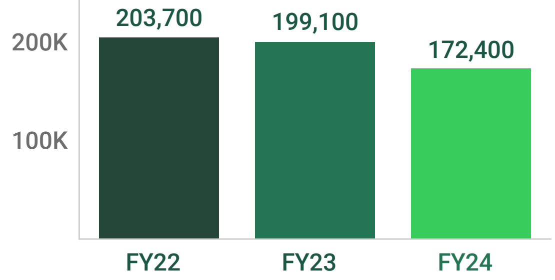
Scope 1 and 2 emissions account for a small share of our total footprint and represent the emissions in our direct control. Here we focus on emissions reductions in operations, including purchased energy. In FY24, scope 1 and scope 2 (market-based) emissions accounted for 172,400 MT CO_2e. We have reported using the market-based methodology since establishing a baseline in FY20.[4]

Scope 1 includes direct emissions from Dell-owned and -controlled resources. Our main sources of scope 1 emissions include transportation (company vehicles and aircraft), fuel use, back-up generators, natural gas use, refrigerant leakage from Dell facilities, mobile sources and offices.[5]

Scope 2 includes indirect emissions related to the consumption of purchased electricity, steam, heating and cooling. Our main sources of scope 2 emissions are from electricity purchased for our facilities.

KEY DRIVER

By 2030, we will reduce scopes 1 and 2 GHG emissions by 50%



MT CO_2e of scopes 1 and 2 (market-based) GHG emissions

40.6%
reduction from our FY20 baseline.

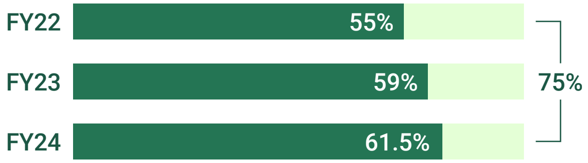
Energy use and renewables

We use energy to operate office and data center equipment, heat and cool our buildings and operate a small fleet of on-site security and maintenance vehicles. In addition to facility operations, our total energy consumption includes the estimated fuel used in vehicles leased by Dell. We maintain our ISO 50001 certification in Dell-owned manufacturing facilities through our commitment to efficient energy systems management.

Global energy demand and costs continue to increase. Both contribute directly to our electricity consumption and renewable energy purchase strategy. Energy from renewable sources helps us transition away from carbon-intensive sources and reduce our emissions. We used renewable energy in the form of on-site solar generation, green power sources and unbundled and bundled renewable energy certificates (RECs) for our U.S. locations. As members of the RE100 initiative, we adhere to the group's technical guidance on renewable energy procurement. In FY24, we sourced 61.5% of electricity from renewable sources across all Dell facilities.

KEY DRIVER

By 2030, we will source 75% of electricity from renewable sources across all Dell Technologies facilities — and 100% by 2040



Percentage of electricity generated from renewable sources